VOSGES HAUT-CHOCOLAT · A CONVERSATION ABOUT CAPABILITY

# Same walls. Same brand. *A different company underneath.*

What the prior era built, what the new era built, and what we kept on purpose.

THEN · PRIOR OWNERSHIP

## A brand ahead of its engine.

*World-class creative. Innovation no one else could touch.*
*But the operation was never built for the brand.*

| | |
|---|---|
| BRAND · R&D | Iconic. Truffles, bars, bacon bar, PB-PB cup. |
| SYSTEMS | 15-year-old CMS · Nutracoster recipe tool, 20+ yrs · islands of data. |
| FLOOR TOOLS | Paper pick lists. Paper counts. Rekeying everywhere. |
| QA | Manual inspection — errors caught downstream, often after shipment. |
| CAPACITY | ~1,440 orders/day peak · manual-heavy · single carrier. |
| COST / SHIP | $30.83 · legacy pricing · no carrier optionality. |
| SERVICE | Customer replies averaged 24–48 hours. |

> *"The PB-PB cup never left a kitchen recipe." The creative was there. The chassis to ship it wasn't.*

| 1,440 | 28 | $30.83 |
|---|---|---|
| DAILY CAPACITY PEAK | PEAK-SEASON STAFF | COST PER SHIPMENT |

NOW · CURRENT OWNERSHIP

## The brand, *plus the engine it deserves.*

*Same building. Same team DNA. A modernized operational spine —*
*connected systems, instrumented floors, simpler choices everywhere.*

| | |
|---|---|
| BRAND · R&D | **Kept intact.** Innovation calendar protected — the reason you buy Vosges. |
| SYSTEMS | **Current-gen MRP** retires the 15-yr CMS · **Flavor Studio** AI replaces Nutracoster. |
| FLOOR TOOLS | **Tablets & scanners** every station. Paper **cut 50%.** |
| QA | **99.97% pick accuracy** · checkweigher + scan-verified · errors caught pre-seal. |
| CAPACITY | **~5,000/day sustainable** · 2,618/day already proven. |
| COST / SHIP | **$12.32** — carrier simplification + negotiation. |
| SERVICE | **Under 1-hour first-response** with Gorgias + 24/7 virtual agents. |

> **What we kept on purpose:** the creative, the flavor R&D, the brand voice. None of the upgrade touched the product.

| +82% | −14% | −60% |
|---|---|---|
| CAPACITY (SAME SPACE) | PEAK STAFF (28 → 24) | COST DRIFT PER SHIP |

THE DIVIDEND OF MODERNIZATION · AND WHAT HELD DURING THE REBUILD

# A footprint sized for December. *Running in April.*

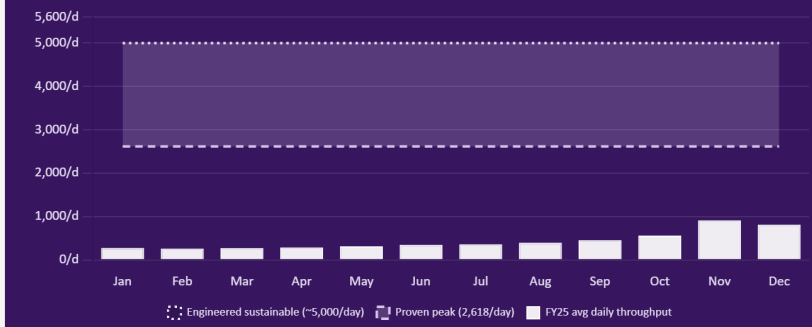
Fewer systems, better ones. More throughput, same walls. Faster answers, at every door — even while the line was being rebuilt.

| ~5,000 | 18 /day | −50 % | −75 % |
|---|---|---|---|
| SUSTAINABLE DAILY SHIPPING CAPACITY | HRS RECLAIMED DAILY TABLETS & SCANNERS · ~$60K Y1 | SERVER TAX YEAR OVER YEAR | END-OF-LIFE RISK RETIRED LEGACY STACK |

THE UNLOCK · CAPACITY ALREADY BUILT

## Proven to 2,618/day. Engineered to sustain ~5,000.

*Same building. Same racking. Same crew. Automation absorbs the variance.*

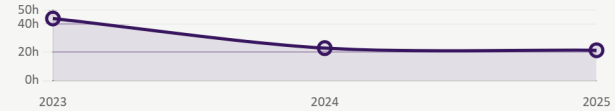



FY25 monthly average daily throughput against proven and engineered ceilings.

WHAT THE MODERNIZATION DELIVERED

| | | |
|---|---|---|
| MRP | Retired the **15-year CMS**; current-gen MRP in its place. | 1 stack |
| RECIPE | **Flavor Studio** replaced **Nutracoster** (20+ yrs) — AI at the bench. | Next-gen |
| FLOOR | Tablets & scanners every station. **Paper down 50%.** | ~18 hrs/day |
| QA | Checkweigher + scan-verified picks. Errors caught **pre-seal.** | 99.97% |
| SHIPPING | Carrier simplification. Ice & unboxing standardized. | −60% $/ship |
| SERVICE | Gorgias + 24/7 virtual agents — answered **under an hour**. | 24–48h → 1h |
| VISIBILITY | Live dashboards. 24/7 automated audits. Decisions on data. | Always-on |

CUSTOMER RESPONSE TIME — TREND




**Held the line during the rebuild.** Q4 2025 — the quarter we re-sequenced the pick line — closed tickets at the same speed as Q4 2024. Customers didn't feel the transition.

WHAT LIES AHEAD · PHOENIX PHASE TWO · AND BEYOND

# Faster. Simpler. *And then — portable.*

An $80K investment that pays itself back in sixteen weeks — and teaches us how to wire the next warehouse in a week, not a year.

| $80K | $5K/wk | 16 wks | $260K | $780K | 25–35% |
|---|---|---|---|---|---|
| PHASE 2 INVEST | ONGOING SAVINGS | PAYBACK PERIOD | YEAR-1 ANNUALIZED | THREE-YEAR CUMULATIVE | OVERHEAD CUT ON THE LINE |

PHASE TWO · ON THE LINE

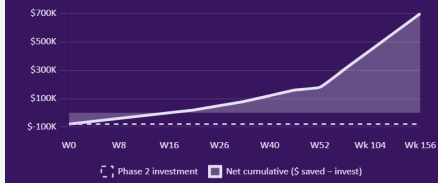
## The things that still look *manual*.

| | |
|---|---|
| *Gift orders* | **Dedicated box-maker station** at the line's head. Gift-note printed on scan — never missed again. |
| *QA stop* | **QA & Organizer merge** into one role. One person owns the box before it moves. |
| *Sealing* | **Auto-sealer** replaces manual tape & fold. Seasonal rental — paid back in a single peak week. |
| *Labeling* | Three-tap ShipStation Mobile retired. **Auto peel-and-apply labeler** takes over. |
| *Boxes* | Sizes re-aligned to **FedEx One Rate tiers.** New SKUs need box-team approval. |
| *Bedding* | Pre-cut, known-weight. The checkweigher stops guessing; shipping math becomes exact. |

THE MATH · CUMULATIVE $ IN THE DOOR

## $80K out. *$780K back.*

| Wk 16 | Wk 52 | Yr 3 |
|---|---|---|
| BREAK-EVEN | +$180K NET | +$700K NET |




**Read it this way —** *every line of cost stays flat; every line of savings stacks. The curves cross at week sixteen. Everything after is structural margin on the P&L.*

AND THEN — THE REAL UNLOCK

## A template that *travels*.

Every simplification on this line is a step toward a **standard** — something we can wire somewhere else.

A **portable warehouse template**. Light up a second location to fulfill a subset of products — closer to the customer, faster to deliver, cheaper to ship.

**Not a bigger building.** A smarter network.

*Simplify first. Replicate second.* The next warehouse is a **configuration**, not a construction project.